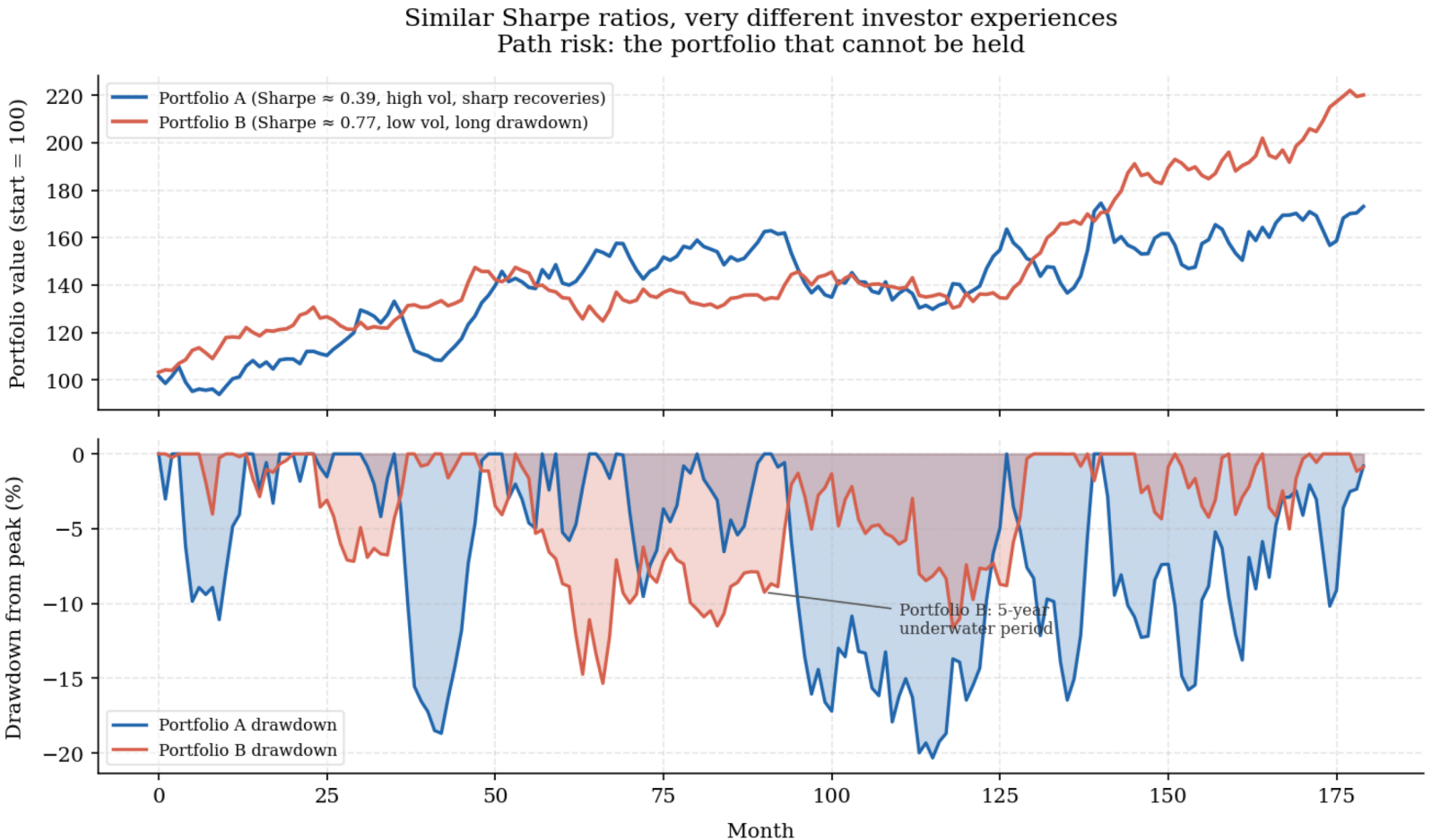
Similar Sharpe ratios, very different investor experiences
Path risk: the portfolio that cannot be held
Portfolio A (Sharpe ≈ 0.39, high vol, sharp recoveries)
Portfolio B (Sharpe ≈ 0.77, low vol, long drawdown)
Portfolio value (start = 100)
220
200
180
160
140
120
100
Drawdown from peak (%)
0
−5
−10
−15
−20
Portfolio B: 5-year
underwater period
Portfolio A drawdown
Portfolio B drawdown
0
25
50
75
100
125
150
175
Month